

RaceSims · Chennai — Break-Even & Profitability

SINGLE-CENTRE UNIT ECONOMICS · VARIANT C (8 RIGS) · SIM-SESSIONS BASELINE

10.1%

BREAK-EVEN OCCUPANCY

₹8.4–28.9L

YEAR-1 EBITDA

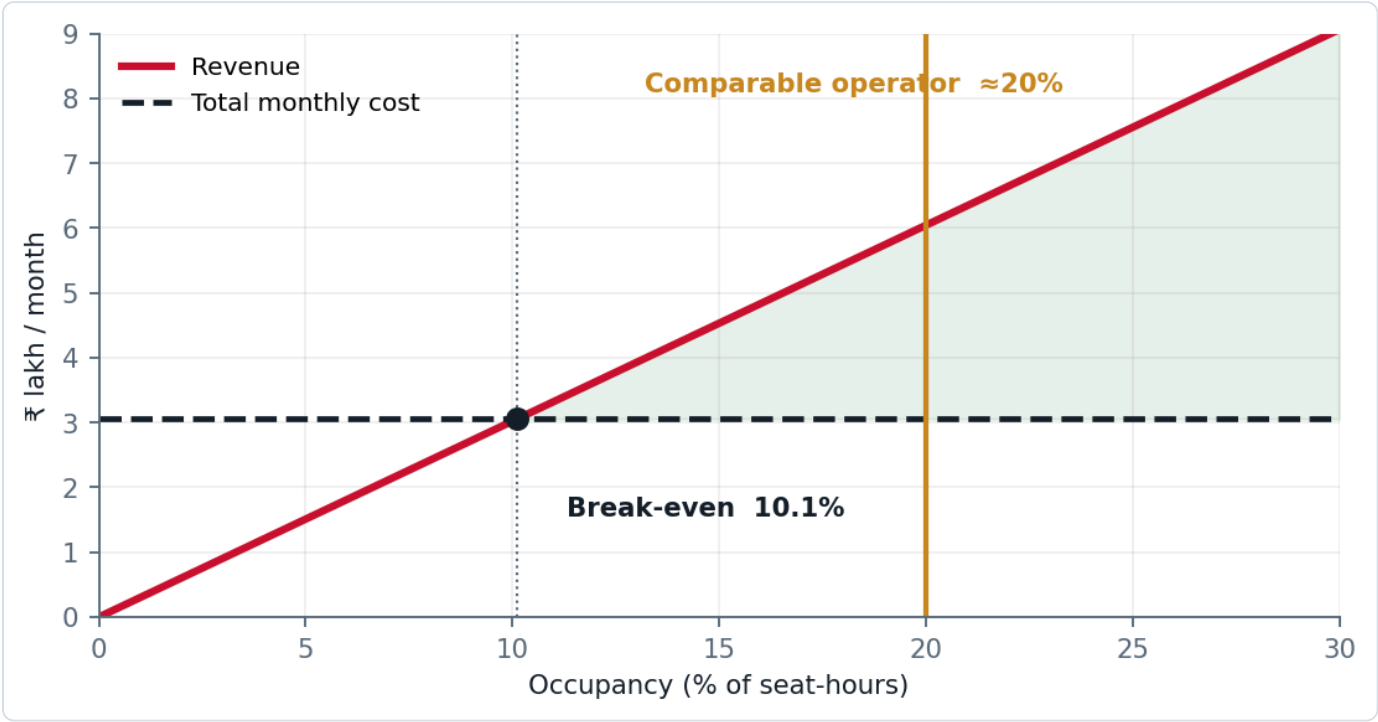
₹68.3L

NET CAPITAL

≈13 mo

PAYBACK

Break-even analysis

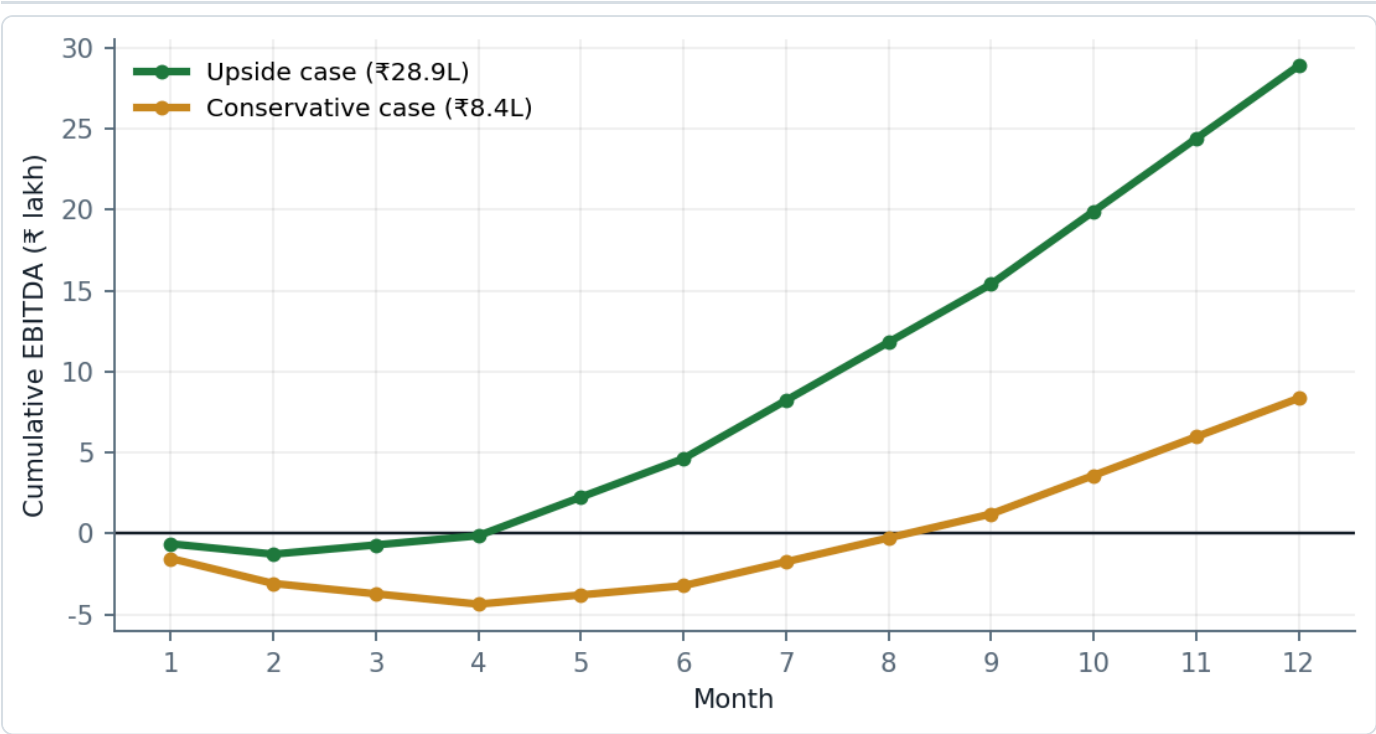


Revenue exceeds total monthly cost at 10.1% occupancy (252 of 2,496 rig-hours). A comparable operating dealer reaches ~20% by month 6 — twice the break-even threshold.

Key metrics

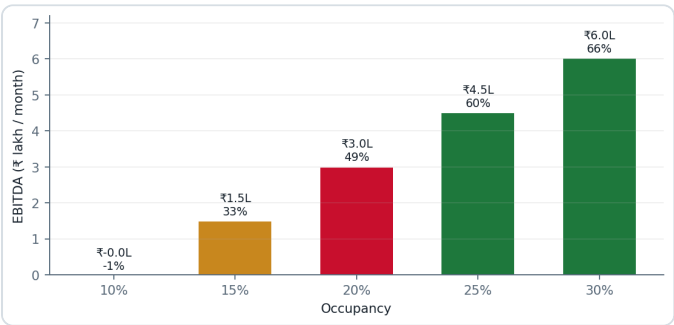
Configuration	8 rigs (7 race + 1 motion), 2 staff
Capacity	2,496 rig-hours / month
Blended net rate	₹1,210 / hour (GST-incl.)
Monthly operating cost	₹3,05,500
Break-even	252 rig-hrs/mo · 10.1%
Net capital deployed	₹68.3L (sunk ₹59.0L)
Year-1 EBITDA	₹28.9L up · ₹8.4L conservative
Payback (sunk)	≈ 13 months @ 25%
Profitable from	Month 3 up · Month 5 conservative

Year-1 trajectory



Cumulative EBITDA across Year 1. Maximum cash drawdown ≈ ₹4L (conservative case); turns profitable month 3 (upside) / month 5 (conservative).

Profitability by occupancy (steady-state, monthly)



OCC.	NET REVENUE	EBITDA	MARGIN
10%	₹3.02L	₹-0.03L	-1%
15%	₹4.53L	₹1.48L	33%
20%	₹6.04L	₹2.99L	49%
25%	₹7.55L	₹4.50L	60%
30%	₹9.06L	₹6.01L	66%

Each point of occupancy adds ≈ ₹0.30L/month EBITDA; margins reach 60%+ from 25%.

RaceSims · Chennai — Plan Summary

INVESTMENT · OVERHEADS · AT-A-GLANCE

The plan. A premium sim-racing centre operated by Racesims Solutions Pvt Ltd — **8 rigs** (7 race/rally + 1 three-DOF motion), **2 staff**, ~1,142 sq ft, 12 hrs/day. Drop-in sessions only at launch; café & motorsport academy layer on later as upside.

Pricing (GST-incl.): race ₹750/30min · ₹1,250/60min | motion ₹1,000/30min · ₹1,600/60min.

Timeline: decision → public open ≈ 16 weeks · profitable month 3–5 · payback ≈ 13 months.

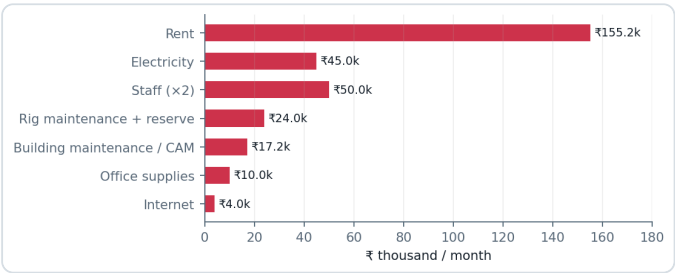
Investment required (capital)

ITEM	AMOUNT
Equipment — 8 rigs (distributor cost)	₹50,79,200
Security deposit (6 mo rent · refundable)	₹9,31,500
Power, electrical & 6 KVA UPS	₹3,00,000
Fit-out, branding, coffee & training room	₹4,60,000
Working capital (2 months)	₹6,11,000
Contingency (5%)	₹3,38,535
Gross investment	₹77,20,235
less reclaimable GST input credit	(₹8,90,756)
Net cash deployed	₹68,29,479
of which refundable deposit	(₹9,31,500)
Net capital at risk	₹58,97,979

Rigs procured at distributor cost (RaceSims is the distributor); retail value ~₹85–95L → built-in balance-sheet equity. Recommend holding ₹17L runway separately.

Monthly overheads

ITEM	₹ / MONTH
Rent	₹155,250
Electricity	₹45,000
Staff (×2)	₹50,000
Rig maintenance + reserve	₹24,000
Building maintenance / CAM	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total fixed overhead	₹3,05,500



Outcomes

10.1% BREAK-EVEN	₹58.98L CAPITAL AT RISK	₹3.06L MONTHLY OVERHEAD	≈13 mo PAYBACK
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Methodology. Pricing GST-inclusive; revenue net of 18% output GST. Full corporate tax (25.17%) assumed; no startup-tax exemption banked. Occupancy benchmarked to a comparable operating dealer (~20% by month 6 at ₹800/hr). Excludes café & academy revenue (incremental upside). Variant C: 8 rigs, 2 staff, 12 hrs/day, 26 days/month. · RaceSims · Chennai · Racesims Solutions Pvt Ltd